

Industry Risk Matrix

Purpose

The Industry Risk Matrix provides a standardized approach for assessing industry-related risk during credit evaluations.

Industry risk represents the likelihood that economic, market, regulatory, or operational conditions could negatively affect a company's ability to meet its financial obligations.

Low Risk Industries

Utilities

Government

Healthcare

Characteristics

Stable demand

Predictable revenue streams

Lower market volatility

Lower default probability

Industry Risk Score: 15 Points

Example Companies

Electricity providers

Water supply companies

Public healthcare organizations

Government service providers

Medium Risk Industries

Manufacturing

FMCG Distribution

IT Services

Characteristics

Moderate market exposure

Dependence on economic cycles

Generally stable operations

Manageable business risks

Industry Risk Score: 8 Points

Example Companies

Consumer goods manufacturers

Software service providers

Regional distributors

Industrial manufacturers

High Risk Industries

Construction

Real Estate Developers

Airlines

Commodity Trading

Startups

Mining and Metal

Characteristics

High market volatility

Capital intensive operations

Greater economic sensitivity

Higher business uncertainty

Industry Risk Score: 3 Points

Example Companies

Property developers

Airlines

Mining operators

Newly established startups

Industry Assessment Guidelines

The primary source of revenue should determine the industry classification.

If a company operates across multiple industries, classify it according to the business segment that generates the highest revenue.

Industry classification should be reviewed periodically to ensure accuracy.

If insufficient information exists to determine an industry classification, the application should be escalated for manual review.

Industry risk should not be used as the sole basis for approving or rejecting a customer.

Industry risk is one component of the overall credit assessment process.

Examples

ABC Utilities Ltd - Utilities - Low Risk - Score 15

Global Manufacturing Solutions - Manufacturing - Medium Risk - Score 8

SkyJet Airlines - Airlines - High Risk - Score 3

Frequently Asked Questions

Which industries are classified as High Risk?

What industry category does Manufacturing belong to?

What score is assigned to Utilities?

How should a company with multiple business lines be classified?

Can industry risk alone determine credit approval?

What should be done if industry information is unavailable?

Knowledge Check Questions

Which industries are considered Low Risk?

What score is assigned to Medium Risk industries?

Why is industry risk considered during credit assessments?

What happens when a company operates in multiple industries?